High-Grade Preferred Stocks Usually Seasoned Issues. In support of the above conclusion, it should be observed that high-grade industrial preferred issues have almost always reached this position as the result of many years of prosperous growth by the corporation *after* the preferred stock was first created. Exceedingly few preferred shares are so strongly entrenched at the *time of original sale* as to meet the stringent requirements needed for a full investment rating. For when a corporation is able to make as strong a showing as we require, it will nearly always prefer to do its financing through a relatively small bond issue, at a low interest rate and with substantial income-tax saving. This does not apply to the public-utility companies since, for reasons probably related to the "legal investment" status of their bond issues, they prefer to carry a portion of their senior financing in the form of stock. (Thus, four of the five high-grade utility preferred stocks included in the above list were floated in recent years.) But the *industrial* preferred shares in this list present an entirely different picture. Only one out of the 15 issues was actually sold to the public within the past 20 years, and even this exception (Procter and Gamble Company 5% Preferred) was floated to replace an older preferred issue at a lower dividend rate. The General Electric Company senior shares were the result of a stock-dividend plan, but the 13 other issues originated long ago and owe their investment status to the prosperous years which followed.

Preferred-Stock Financing 1935–1938. Our view that the preferred stock form lacks inherent logic must be advanced with the caveat that it is not shared by investment bankers. New financing in recent years has included a sizable number of preferred-stock offerings. Many of these have been privileged issues (convertibles, etc.) and as such fall outside the present discussion. But there have also been flotations of straight industrial preferreds—at least eight such new issues having been listed on the New York Stock Exchange between 1935 and 1938.[5] All but one of these would have met our stringent tests of safety, and hence they could not be objected to as insecure. But in our opinion they might just as well, or better, have been floated as bonds.

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[5] These were issued by Champion Paper and Fibre, Continental Can, Du Pont, General Foods, Loose-Wiles Biscuit, Monsanto Chemical, G. C. Murphy, Scott Paper.